

**Time:** 4 minutes**Outcome:** Distinguish frictional, structural, and cyclical unemployment.**Difficulty:** ●○○ Beginner

Types of Unemployment



THE CORE IDEA

Frictional unemployment comes from ordinary job search. Structural unemployment comes from lasting mismatches between workers' skills and available jobs. Cyclical unemployment comes from weak demand during a recession.



HOW TO RECOGNIZE IT

- Search between jobs or after graduation is frictional unemployment.
- A lasting technology or industry change can create structural unemployment.
- Recession-related layoffs indicate cyclical unemployment.



WATCH OUT

Do not confuse the cause of unemployment with official labor-force status. For a jobless worker who is available and actively searching, normal search after leaving a job is frictional unemployment; recession-related job loss is cyclical unemployment.



WORKED EXAMPLE: IDENTIFYING UNEMPLOYMENT TYPES

A worker leaves a job and spends six weeks searching for a better match; that is frictional unemployment. A factory worker whose skills no longer match available technology faces structural unemployment. A restaurant worker laid off because a recession reduces spending experiences cyclical unemployment.



CHECK YOURSELF

A worker's occupation disappears after a lasting technology change, and their skills do not match new vacancies. Which type of unemployment is this, and how does it differ from ordinary job search?

**READY?**

Return to the game and master this concept.